China, Indonesia, Korea, and India respectively). interestingly, India's growth in its share of world trade is similar to China's and greater than Indonesia's at similar periods after takeoff. India's openness is also evidenced by the trade to GDP ratio, which exceeded 55 per cent in 2011. By contrast, this ratio is only 31 per cent for the United States.

- The takeaway from the evidence examined so far is that India's growth performance has been similar to that of some of the fast-growing Asian economies at similar stages after takeoff, but not as spectacular as China's. Interestingly, despite being seen as a trade laggard, India has grown more open to trade at about China's pace.

Sources of Growth

For knowing the edge India has in garnering 'demographic dividend', a comaprision with the other Asian economies – in the area of ***sources of growth*** will serve the purpose.

- Growth in per capita income is driven by growth in labour productivity (what the average worker produces), growth in working age population (fewer the people who are in the dependent age group in the population, greater the output), growth in the fraction of those who can work and that actually look for work (labour force participation rate), and growth in those looking for work who actually find it (employment rate).
- Because accurate employment data are hard to find for developing countries, studies typically ignore the employment rate in decomposing the sources of growth. A decomposition of per capita income growth during the 20 years after takeoff suggests that across countries, much of the increase in per capita income comes from greater labour productivity.
- Interestingly, except for Korea, **LFP*** (labour force participation) has fallen on an average annual basis, so it subtracts from growth.
- Finally, the increase in the share of WAP (working age population) seems to add only a little to growth.